

NOTES TO BASIC FINANCIAL STATEMENTS*For the year ended June 30, 2022*

In addition to liabilities, the statement of net position (deficit) reports a separate financial statement element, *deferred inflows of resources*, which represents an acquisition of net assets that applies to future periods, and therefore, will not be recognized as an inflow of resources (revenue) until that time.

CBJ reports, *unavailable revenue*, only on the governmental funds balance sheet. The amounts are deferred and recognized as an inflow of resources in the period that they become available. The governmental funds report unavailable revenues as follows.

Unavailable Revenues by Source	
Delinquent Property	\$ 486,542
Land Sales Notes Receivable	1,007,066
Payment in Lieu of Property Tax	2,677,870
Sales Tax	406,066
Sales Tax Loan	1,891,080
Affordable Housing Loans Receivable	10,273
Special Assessments	214,659
Miscellaneous Grants Receipts	219,240
Total	<u>\$ 6,912,796</u>

On the statement of net position, balance of the deferred inflows of resources, excluding unavailable revenues provided above, totaled \$122,290,461. This balance was comprised of a total of \$32,504,217 in lease deferred inflows of lease resources, \$204,595 of deferred inflows of miscellaneous grant resources, and \$45,312,223 in deferred inflows of pension resources, and \$44,269,426 of deferred inflows of OPEB resources. Detailed information relating to the net pension and OPEB liabilities may be found in Note 12.

NOTE 10 – DEBT

The majority of the debt service of CBJ is paid through the General Debt Service Fund, Central Equipment Internal Service Fund, and the Enterprise Funds of Docks & Harbors, Bartlett Regional Hospital and Areawide Water and Wastewater Utilities. For CBJ debt not accounted for in the Proprietary Fund Types, the General Debt Service Fund pays the general obligation debt and property purchase agreements debt with bond proceeds, earnings on bond proceeds, property taxes, State of Alaska school debt reimbursements and interfund transfers. Installment contract payments and lease payments are paid by the benefitting fund with general tax revenues or other applicable revenue sources. The Proprietary Fund Types pay their general obligation bonds, revenue bonds, and other long-term debt obligations with user fees or special assessment revenues. Finally, compensated absences are paid by the benefitting fund with general tax revenues or other applicable revenue sources.

The future minimum lease obligations as of June 30, 2022, are as follows.

Year Ending June 30	Principal Payments	Interest Payments	Totals
2023	\$1,137,465	50,433	1,187,898
2024	676,857	33,102	709,959
2025	287,529	23,363	310,892
2026	149,305	18,937	168,242
2027	97,002	16,410	113,412
2028-2032	540,362	53,137	593,499
2033-2037	236,005	9,657	245,662
2038-2042	40,165	1,085	41,250
	<u>\$3,164,690</u>	<u>\$206,124</u>	<u>\$3,370,814</u>

For the year ended June 30, 2022

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The annual requirements to retire all outstanding debts as of June 30, 2022, are as follows.

Year ending June 30	Bonds			Direct Placement (General Obligation Bonds)			Direct Placement (Revenue Bonds)		
	Principal	Interest	Total	Principal	Interest	Total	Principal	Interest	Total
2023	\$ -	720,400	720,400	7,018,500	1,097,860	8,116,360	5,265,000	3,091,431	8,356,431
2024	-	720,400	720,400	4,726,000	800,155	5,526,155	5,720,000	2,850,857	8,570,857
2025	215,000	720,400	935,400	3,165,000	607,808	3,772,808	5,990,000	2,574,330	8,564,330
2026	745,000	711,800	1,456,800	1,600,000	495,811	2,095,811	5,190,000	2,288,361	7,478,361
2027	810,000	682,000	1,492,000	1,680,000	420,720	2,100,720	6,490,000	2,025,663	8,515,663
2028-2032	6,800,000	2,780,000	9,580,000	6,400,000	1,117,743	7,517,743	19,990,000	7,467,408	27,457,408
2033-2037	9,440,000	1,013,800	10,453,800	1,940,000	90,153	2,030,153	16,580,000	3,268,631	19,848,631
2038-2042	-	-	-	-	-	-	7,355,000	901,950	8,256,950
	<u>\$ 18,010,000</u>	<u>7,348,800</u>	<u>25,358,800</u>	<u>26,529,500</u>	<u>4,630,250</u>	<u>31,159,750</u>	<u>72,580,000</u>	<u>24,468,631</u>	<u>97,048,631</u>

Year ending June 30	State of Alaska Extension Loans			Totals		
	Principal	Interest	Total	Principal	Interest	Total
2023	\$ 1,776,530	400,080	2,176,610	14,060,030	5,309,771	19,369,801
2024	1,672,532	353,069	2,025,601	12,118,532	4,724,481	16,843,013
2025	1,501,760	328,103	1,829,863	10,871,760	4,230,641	15,102,401
2026	1,360,660	305,456	1,666,116	8,895,660	3,801,428	12,697,088
2027	1,360,660	285,045	1,645,705	10,340,660	3,413,428	13,754,088
2028-2032	6,728,808	1,120,303	7,849,111	39,918,808	12,485,454	52,404,262
2033-2037	6,100,168	629,616	6,729,784	34,060,168	5,002,200	39,062,368
2038-2042	4,813,427	186,589	5,000,016	12,168,427	1,088,539	13,256,966
	<u>25,314,545</u>	<u>3,608,261</u>	<u>28,922,806</u>	<u>142,434,045</u>	<u>40,055,942</u>	<u>182,489,987</u>

Other long-term debt includes equipment, property and miscellaneous purchase agreements, lease agreements, and compensated absences. Future obligations include principal and interest due over the life of the commitments. Compensated absences are retired by the General Fund (96%) and the Special Revenue Funds – Lands (1%), Eaglecrest (2%), and Pools (1%).

	Balance at June 30, 2021	Current Year		Balance at June 30, 2022	Current Portion	Long-term Balance at June 30, 2022
		Issued	Retired			
Governmental activities:						
General Obligation Bonds	\$ 18,010,000	-	-	18,010,000	-	18,010,000
Direct Placement (GO)	37,155,000	-	10,625,500	26,529,500	7,018,500	19,511,000
Direct Placement (Revenue)	20,640,000	5,725,000	8,130,000	18,235,000	1,140,000	17,095,000
Other Direct placement debt	-	-	-	-	-	-
Unamortized bond premium	7,686,017	1,524,363	1,634,863	7,575,518	1,136,463	6,439,055
	83,491,017	7,249,363	20,390,363	70,350,018	9,294,963	61,055,055
Compensated absences	3,320,324	7,189,916	5,014,941	5,495,299	2,417,932	3,077,367
Total governmental activities	86,811,341	14,439,279	25,405,304	75,845,317	11,712,895	64,132,422
Business-type activities:						
Direct Placement (Revenue)	39,075,000	18,775,000	3,505,000	54,345,000	4,125,000	50,220,000
State of Alaska extension loans	23,690,825	3,238,333	1,614,613	25,314,545	1,776,530	23,538,015
Unamortized bond premium	1,933,744	2,689,161	633,149	3,989,756	663,904	3,325,852
	64,699,569	24,702,494	5,752,762	83,649,301	6,565,434	77,083,867
Compensated absences	2,984,356	9,557,022	6,049,594	6,491,784	3,627,518	2,864,266
Total business-type activities	67,683,925	34,259,516	11,802,356	90,141,085	10,192,952	79,948,133
Total long-term debt	<u>\$ 154,495,266</u>	<u>48,698,795</u>	<u>37,207,660</u>	<u>165,986,402</u>	<u>21,905,847</u>	<u>144,080,555</u>